Murali $= \frac{2}{5} - \frac{1}{6} = \frac{12-5}{30} = \frac{7}{30}$

Therefore, the gaining ratio of Muthu and Murali is 3:7

(ii) Adjustment for goodwill

Goodwill of the firm = ₹ 30,000

Share of goodwill to Manoj = $30,000 \times \frac{2}{6}$ = ₹ 10,000

It is to be adjusted in the capital accounts of Muthu and Murali in the gaining ratio of 3:7

That is,

Muthu : $10,000 \times \frac{3}{10}$ = ₹ 3,000

Murali : $10,000 \times \frac{7}{10}$ = ₹ 7,000

Balance Sheet as on 31st December, 2018

Liabilities	₹	₹	Assets	₹	₹
Capital accounts			Machinery	45,000	
Muthu	21,500		Less: Depreciation	2,000	43,000
Murali	19,500	41,000	Furniture		5,000
Manoj's loan A/c		33,000	Debtors	30,000	
Creditors		29,000	Less: Provision for bad debts	2,000	28,000
			Stock	20,000	
			Add: Appreciation	7,000	27,000
		1,03,000			1,03,000

DEATH OF A PARTNER

6.9 Adjustments required on the death of a partner

When a partner dies, there is dissolution or reconstitution of partnership. The following adjustments are made on the death of a partner:

(1) Distribution of accumulated profits, reserves and losses
(2) Revaluation of assets and liabilities
(3) Determination of new profit sharing ratio and gaining ratio
(4) Adjustment for goodwill
(5) Adjustment for current year's profit or loss upto the date of death
(6) Settlement of the amount due to the deceased partner

The adjustments to be done in the accounts incase of death of a partner is the same as in the case of retirement of a partner except settlement of the amount due to the deceased partner.

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